BETWEEN THE LINES

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OPENING

"Fraud is here and safety should be demanded by all Americans," Transportation Secretary Sean Duffy declared this week as the DOT shuttered 110 commercial driver training schools tied to more than 5,000 English-proficiency violations [Transport Topics]. That crackdown headlines a month where regulation, fuel, and capacity all pulled in the same direction, tight. Diesel crack spreads hit a record $106 a barrel [Transport Topics], the LMI signaled capacity contraction for the ninth straight month [FreightWaves], and carriers reported drayage driver shortages holding back growth. Here's what fleet leaders need to know.

THE BIG STORY

Federal enforcement just reshaped the driver pipeline overnight. The ripple effects on capacity, compliance, and hiring are only beginning.

Washington's CDL crackdown puts safety, staffing, and state oversight all on the same collision course

The Department of Transportation's emergency shutdown of 110 CDL training schools is the most sweeping federal action against driver-training providers in memory. FMCSA Administrator Derek Barrs said each shuttered school certified at least 10 drivers later cited for English-language proficiency violations, and collectively they trained more than 5,000 drivers who failed roadside ELP checks [Transport Topics]. Texas and Pennsylvania led the closures with 13 schools each, followed by California with 11, Florida with 10, and Utah with nine [FreightWaves].

110	$106	30,000	40
CDL SCHOOLS SHUT DOWN BY EMERGENCY FEDERAL ACTION	RECORD DIESEL CRACK SPREAD, PER BARREL	DRIVERS PLACED OUT OF SERVICE ON ELP GROUNDS	LMI TRANSPORTATION CAPACITY READING, NINTH MONTH IN CONTRACTION

The action goes well beyond training providers. Duffy said 239 highway deaths since early in the administration have been correlated with drivers who lacked English proficiency, and 30,000 drivers have been placed out of service on ELP grounds [Transport Topics]. FMCSA will now audit state third-party CDL skills testers nationwide, with penalties that could withhold up to 4% of federal highway funds from noncompliant states, doubling in subsequent years. Homeland Security Investigations kicked off a synchronized surge at roughly 200 driving schools across 23 states.

> *"If you're here illegally and you can't speak the language and you're not well trained, you don't deserve to be in a big rig to drive on American roads, endangering American citizens."*
>
> Sean Duffy, U.S. Secretary of Transportation

Enforcement in the field is already reflecting the new posture. During CVSA's International Roadcheck this spring, ELP violations broke into the top five driver out-of-service infractions for the first time, with 361 citations logged among 54,575 driver inspections [Transport Topics]. Cabotage enforcement is tightening too. Federal agents arrested two Mexican nationals at a Nogales, Arizona training school in an investigation of illegal hiring practices, and CBP told FreightWaves it is seeing an increase in cabotage encounters, particularly near the border [FreightWaves].

For carriers, the immediate story is capacity. J.B. Hunt, Schneider, and Knight-Swift all told analysts the driver pool, especially in drayage, is now the binding constraint on growth. "Drayage has become the primary constraint," Schneider CEO Jim Filter said, noting the company chose not to chase volume that would have required expensive third-party dray [Trucking Dive]. ATA's Henry Hanscom called the enforcement push a message that trucking "demands skill, responsibility, and adherence to the highest standards," and OOIDA's Todd Spencer said basic English ability is common sense for anyone behind an 80,000-pound rig.

The takeaway for fleet leaders: expect a tighter, more scrutinized driver supply through the rest of the year, with real leverage for carriers that invest in properly trained, fully qualified drivers

and can document it.

QUICK TAKES

What else moved the market this month.

FUEL

Diesel futures surge to a post-war high as global supply squeeze deepens

ULSD on the CME jumped nearly 5% in a single session to $4.62 a gallon, the highest settlement since military action against Iran began [FreightWaves]. Retail diesel is averaging $5.63 a gallon, and Goldman Sachs more than doubled its refining-profit forecast as Ukrainian drone strikes on Russian refineries and Middle East disruptions continue to squeeze supply [Transport Topics]. Winter heating demand and harvest season point to sustained pressure into Q4.

REGULATION

Refiners score biggest biofuel waivers since 2017, with reallocation to follow

EPA granted small refinery exemptions totaling 1.76 billion credits for the 2025 compliance year, roughly 80% above prior projections [Transport Topics]. The agency will reallocate 100% of the exempted volumes into 2026 and 2027 blending mandates, a compromise meant to protect farm-state biofuel demand while giving smaller refiners relief. RIN prices and fuel-surcharge math will feel the ripple.

LTL

ShipStation folds LTL into its parcel platform, chasing the SMB freight opportunity

ShipStation is now offering pre-negotiated LTL rates alongside parcel inside a single interface, building on parent Thoma Bravo's June acquisition of WWEX Group [FreightWaves]. According to ShipStation, 78% of merchants surveyed already ship freight, and more than half manage it separately from their parcel operation. LTL carriers should expect more small and mid-sized shippers arriving through digital gateways.

INFRASTRUCTURE

Missouri breaks ground on 255 new I-70 truck parking spaces

MoDOT kicked off a $33 million expansion that will add 255 truck parking spaces along I-70 by late 2028, funded through a federal INFRA grant [Trucking Dive]. OOIDA's Todd Spencer noted there is

only one safe parking spot for every 11 trucks on U.S. roads, forcing drivers into impossible choices when hours run out. Real pavement, in the right places, is finally starting to move.

TECH

Nvidia says AI supply crunch spans memory, silicon, and data center build

Nvidia CEO Jen-Hsun Huang told investors the company has enough supply for 70% revenue growth next year, but demand is still ahead of that [Supply Chain Dive]. Supply commitments have ballooned from $119 billion to $279 billion in one quarter. For freight and logistics tech buyers, expect longer lead times and firmer pricing on AI-enabled TMS and warehouse tools through 2027.

M&A

Descartes doubles down on 3PL software with $120M Extensiv deal

Descartes bought warehouse management provider Extensiv for $120 million, just a week after picking up TMS provider Tai for $100 million [FreightWaves]. The moves deepen its reach into brokers, warehouses, and last-mile fulfillment, signaling continued consolidation among logistics tech vendors serving small and mid-sized 3PLs.

WHAT TO WATCH

Stories worth tracking into next month.

REGULATION

State CDL audits could reshape licensing in five key states

HSI Secretary Markwayne Mullin flagged California, New York, New Jersey, Massachusetts, and Virginia as states with problematic CDL issuance patterns [Transport Topics]. Formal notices requiring corrective action plans are heading to governors and state licensing agencies, with federal highway funds on the line. Fleets domiciled in those states should expect tighter documentation on hire-side compliance.

RATES

LMI signals more pricing pain for shippers, more leverage for carriers

The LMI's transportation prices index hit 90 in August, its fourth month above that mark in the last five, while capacity remained in contraction [FreightWaves]. Logistics managers expect the tight market to persist for at least 12 months. Contract renewals this fall will be the first real test of whether shippers accept the new floor.

TRADE

Canada retaliation and IEEPA refunds will scramble cross-border freight math

Canada's countertariffs of 15% to 50% on C$27.5 billion in U.S. goods take effect September 8, with Oxford Economics warning of higher costs and weaker growth on both sides [Transport Topics]. Meanwhile, U.S. shippers like Williams-Sonoma are still receiving IEEPA tariff refunds and sharing them with vendors and employees [Supply Chain Dive]. Expect volatile cross-border volumes and shifting sourcing conversations into Q4.

THE BOTTOM LINE

This month made one thing clear: the regulatory environment is now the single biggest force shaping capacity. Between CDL school closures, ELP enforcement, state audits, and cabotage crackdowns, the drivers still standing after this sweep will be more valuable than ever. Carriers who invest in verified training, English-capable hiring pipelines, and documented safety practices will find themselves with real pricing power heading into 2027. This is a market that rewards doing the job right.

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SOURCES ▲

Compiled 2026-09-01 from 8 publications over the past 30 days.

DC Velocity

- 2026-09-01 Report: Rising costs plague the last mile
- 2026-08-31 UPS shifts stance from a small package carrier to an integrated logistics solution provider
- 2026-08-31 CA tech firm to team with Saudi Arabia on “world’s largest autonomous trucking network”
- 2026-08-31 U.S. robotics market for packaging & processing to nearly double by 2031
- 2026-08-31 Walmart to build 1.5 million-square-foot automated fulfillment center in Georgia
- 2026-08-31 How to “digest” your IoT data
- 2026-08-28 Port of Los Angeles approves 30-year lease with Yusen Terminals
- 2026-08-28 South Carolina Ports seeks to deepen harbor at North Charleston Terminal
- 2026-08-28 Study: Companies need more control over last-mile delivery networks and data
- 2026-08-28 Innovating with AS/RS

FreightWaves

- 2026-09-01 By the numbers: diesel futures surging Tuesday to possible post-war high
- 2026-09-01 August’s manufacturing PMI dips to 54.6; supply chain constraints persist
- 2026-09-01 Mexican nationals arrested in cabotage probe at Arizona truck driving school
- 2026-09-01 Private equity group rolls up 3 small firms for courier network
- 2026-09-01 Texas, Pennsylvania lead states in CDL school shutdowns
- 2026-09-01 DHL acquires freight forwarder in Uruguay
- 2026-09-01 Descartes acquires Extensiv for $120M
- 2026-09-01 ShipStation first to bundle LTL into parcel shipping platform
- 2026-09-01 Why Going Global Isn’t Always the Right Call
- 2026-09-01 Transportation capacity contraction slows in August

Supply Chain Dive

- 2026-09-01 Cotopaxi repays workers at Taiwan mills for predatory recruitment fees
- 2026-09-01 Sapporo USA to close craft brewing facilities following sale
- 2026-09-01 Boscov’s revamps e-commerce fulfillment operations
- 2026-08-31 Dollar General deploys AI across distribution centers, stores
- 2026-08-31 Heritage Grocers appoints logistics executive
- 2026-08-31 Williams-Sonoma to spread tariff refunds to vendors, employees
- 2026-08-31 Intel report shows gap between robotics expectations and readiness
- 2026-08-31 Nvidia says supply shortages are limiting AI revenue growth

2026-08-31 Network flexibility: The key to maintaining service in volatile markets

2026-08-28 Jim Beam maker chooses next chief supply chain officer

The Loadstar

2026-09-01 Dameme steps up as Geodis CCO

2026-09-01 ‘Overlooked’ Lusaka Airport suddenly attracts dedicated freighter capacity

2026-09-01 Africa-LatAm trade on the up – but is mainly one-way traffic

2026-09-01 Asia-Europe air freighter capacity increases, despite ecommerce slump

2026-09-01 Berthing delay at congested Shanghai and Ningbo now hitting 10 days

2026-09-01 Ambitious Cosco’s spending spree takes box ship orderbook to new high

2026-09-01 OceanX: Japan blossom; Hong Kong revival; and South China is wet

2026-09-01 Ceva Logistics – when your 3PL gets hacked, every customer becomes a victim

2026-09-01 Shippers are moving toward ‘dynamic’ supply chains – but cautiously

2026-09-01 More disruption at Mundra Port as operators refuse to move boxes

Transport Advancement

2026-09-01 Weather Responsive Traffic Control for Safe Winter Transit

2026-09-01 Enhancing Digital Twin Traffic Planning with Generative AI

2026-09-01 AI Traffic Congestion Management Enabling Smooth Mobility

2026-09-01 Satellite-based Rail Signaling for Remote Track Control

2026-09-01 Integrated ITS Infrastructure Driving Modern Smart Mobility

2026-08-31 Cyber-Physical Traffic Systems Empowering Smarter Mobility

2026-08-31 Smart Asphalt V2I Connectivity Enabling Connected Roadways

2026-08-31 U.S. Launches FAA BEYOND Program Phase 2 to Integrate Drones

2026-08-31 Saudi Arabia, Syria Up Transport and Logistics Partnership

2026-08-27 TCS, Porsche Join Hands to Boost AI-Powered Mobility

Transport Topics

2026-09-01 Diesel crack spread surges to record $106 a barrel

2026-09-01 Diesel leaps to 4-month high with supply squeeze worsening

2026-09-01 Duffy closes 110 driving schools, plans audit of CDL testers

2026-09-01 Deere launches AI assistant named JD to guide farmers

2026-09-01 Oil prices continue to climb as violence flares in Iran war

2026-09-01 Canada’s U.S. tariff retaliation will weaken growth: Study

2026-09-01 Refiners granted highest level of biofuel waivers since 2017

2026-09-01 U.S. to partner with energy company on Venezuela oil deal

2026-09-01 Amazon faces FTC lawsuit over sponsored ad pricing

2026-08-31 ELP violations rank fourth among OOS orders during CVSA event

Transportation Today News

2026-08-31 South Dakota awards $3.5M to 40 bridge projects

2026-08-31 Chicago officials unveil plans for express train from airport to downtown

2026-08-31 Indiana receives $26M in emergency relief funds

2026-08-31 California announces $2.7B for transportation system resiliency

2026-08-28 Texas to spend $138B on transportation, governor announces

2026-08-28 Sen. Ernst introduces legislation to thwart Chinese surveillance of railroads

2026-08-28 USDOT launches initiative to update highway, rail corridors into multi-use arteries for utility use

2026-08-28 Initiative will modernize Norfolk Southern locomotives

2026-08-27 Tennessee proposal includes $24.8B public-private partnership

2026-08-27 Rohde & Schwarz USA opens plant manufacturing air traffic control switches for FAA

Trucking Dive

2026-09-01 Multi-agency partnership targets possible fraudulent CDL holders

2026-09-01 Quarterhill’s $4.6M PennDOT deal extends weigh-in-motion program

2026-09-01 DOT proposes streamlining land leases along roads, railroads for utility use

2026-08-31 Coalition aims for zero-emission I-5 truck corridor

2026-08-31 Carriers limit outsourcing amid shortage of drayage drivers

2026-08-31 Canada tariffs named on aluminum, steel, pulp and paper

2026-08-28 Advance Auto Parts rebids carrier contracts, expects to save tens of millions

2026-08-28 Missouri kicks off truck parking expansion project along I-70

2026-08-27 ‘A real foothold in the Southeast’: Behnke Dedicated & Logistics buys AG Freight

2026-08-27 APM Terminals to add 96 Orange EV yard trucks in New Jersey